XII. On Wages

Inflation increases the nominal (face) value of the wages while their real value falls. That is why there is a negative impact of inflation on the purchasing power and living standard of the wage employees. To neutralise this negative impact the Indian government provides ***dearness allowance*** to its employees twice a year.

XIII. On Self-employed

Inflation has a neutralising impact on the self-employed people in the short-run. But in the long run they also get affected as the economy as a whole gets affected.

XIV. On Economy

All the segments discussed above belong to an economy but we must know the overall short-term and long-term impact of inflation on an economy.

Experiences of the world economies in the late 1980s that a particular level of inflation is healthy for an economy. This specific level of inflation was called as the ‘range’ of inflation and every economy needs to calculate its own range. Inflation beyond both the limits of the range is never healthy for any economy. In the case of India it is considered 4 to 5 per cent which is also known as the ‘comfort zone’ of inflation in India. Similarly for Australia, New Zealand, the USA, Canada and the European Union the healthy range today is 1 to 3 per cent. This is why every economy today utilises ***inflation targeting*** as part of its monetary policy.

Inflation beyond the limits of the decided/prescribed range brings in recession to depressions. (We will see them in the Section B of this Chapter ‘Business Cycle.)

INFLATION IN INDIA

Every economy calculates its inflation for efficient financial administration as the multi-dimensional effects of inflation make it necessary. India